1) The essence of human capital theory is that:

A) Firms spend money on their capital stock and equipment in order for labour to become more productive.

B) Investments are made in human resources so as to improve their productivity and, therefore, their earnings.

C) All workers who want to increase their salary should obtain a university diploma.

D) Workers invested in higher education in order to send a signal to potential employers regarding their underlying ability.

E) Education and training do not contribute directly to productivity, but act as a filter to screen candidates.

2) The decision to invest in human capital does <u>not</u> involve which of the following?

A) The costs of tuition and books
B) Direct expenditures
C) Forgone earnings
D) Projected earnings
E) None of the choices are correct, as they all apply.

3) The rule for optimal human capital investment is that:

A) the individual should increase years of education until the discounted present value of the benefits of an additional year of education equals the discounted present value of the additional costs.

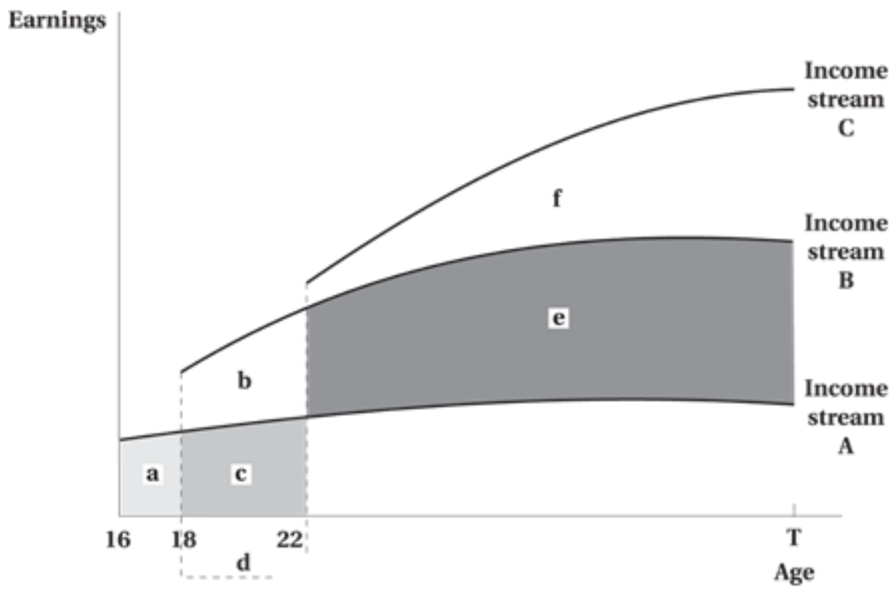
B) the individual should increase years of education until the discounted present value of the benefits of an additional year of education is less than the discounted present value of the additional costs.

C) the individual should increase years of education until the discounted present value of the benefits of an additional year of education is greater than the discounted present value of the additional costs.

D) the individual should increase years of education until the discounted present value of the benefits of all of the years of education equals the discounted present value of all of the associated costs.

E) The individual should invest in training and skill development such that the potential employer is impressed with her credentials.

4) This diagram shows the age-earnings profiles of three different individuals who opt to choose three options: not graduating from high school, graduating from high school, and graduating from a university.



The area labeled e) refers to:

A) The explicit, out-of-pocket costs incurred
B) The opportunity costs incurred by someone who opted for income stream B (a high school graduate)
C) The earnings premium earned by someone who opted for income stream B (a high school graduate) relative to a worker who did not obtain a high school diploma.
D) The earnings premium earned by someone who opted for income stream C (a university graduate) relative to a worker who graduated from high school.
E) The total cost of attending university

5) According to the signaling theory of education,

A) The level of education or training directly measures the productivity of the worker.

B) The level of education or training of one worker affects the productivity of her coworkers.

C) Education and training function as utility-generating goods from the worker's perspective.

D) Education and training do not contribute directly to productivity, but act as a filter to screen candidates.

E) The social rate of return to education is greater than the private rate of return.

6) In the context of hiring and recruitment, which of the following is <u>not</u> true of a sorting device?

   A) It illustrates the more general phenomenon of signaling in markets.
   B) It provides an alternative explanation of the positive correlation between education and earnings.
   C) It is an integral part of human capital theory.
   D) It involves an alternative theory to investment in training and education.
   E) It is related to the empirical problem of ability bias.

7) A human capital earnings function is:

A) a function relating an individual's earnings to his/her education level.

B) a function relating an individual's earnings to his/her characteristics that determine productivity.

C) a function relating an individual's earnings to the signals that he/she emitted to potential employers

D) a function relating an individual's earnings to his/her family background.

E) a function relating an individual's earnings to his/her professional background.

8) Which of the following statements regarding the issue of "ability bias" is <u>false</u>?

A) In the earning function, $\ln Y = a + bS + e$, where log wages depend only on the level of schooling, S, and unobserved talent, e. The OLS estimate of the return to schooling b is biased, because unobserved talent, e, is correlated with schooling.

B) The estimated coefficient may overstate the true causal effect, if more highly educated individuals would have earned more than less educated individuals even with the same amount of schooling as the less educated.

C) The estimated coefficient may understate the true causal effect, if more highly educated individuals would have earned more than less educated individuals even with the same amount of schooling as the less educated.

D) The problem of "ability bias" can be addressed by "natural experiments" technology.

E) Recent empirical studies have found that the problem of "ability bias" is exaggerated.

1) B
2) E
3) A
4) C
5) D
6) C
7) A
8) C